

THE WALL STREET JOURNAL.

DOW JONES | News Corp

MONDAY, OCTOBER 13, 2025 ~ VOL. CCLXXXVI NO. 88

WSJ.com

★★★★ \$5.00

Last week: DJIA 45479.60 ▼ 1278.68 2.73% NASDAQ 22204.43 ▼ 2.5% STOXX 600 564.16 ▼ 1.1% 10-YR. TREASURY (Reopening) yield 4.053% OIL \$58.90 ▼ \$1.98 EURO \$1.1621 YEN 151.18

What's News

Business & Finance

- ◆ **China was already** seeing growth slow, and now Trump's announcement of a 100% additional tariff is threatening tens of thousands of Chinese manufacturers and the country's fragile economy. **A1**
- ◆ **The rekindling** of the tariff fight with China has investors taking a harder look at some of the market's hottest investments. **B9**
- ◆ **Warner Bros. Discovery** rebuffed a bid from Paramount, and now Paramount CEO David Ellison is considering options that could include a more aggressive approach. **B1**
- ◆ **More Americans** are falling behind on their car loans, signaling that lower-income consumers are struggling to afford payments as wages stagnate and unemployment ticks higher. **B1**
- ◆ **The September quarter** featured the richest stretch of private-equity deal activity in years as big-ticket transactions put 2025 on pace for the second-biggest year since 2021. **B3**
- ◆ **The Trump administration** is recalling some furloughed workers to publish a key inflation report, with the delayed consumer-price index now due out on Oct. 24. **A2**
- ◆ **A severe drought** has Corpus Christi scrambling to meet demand from companies like Exxon and Tesla that have invested billions of dollars in the region. **B1**
- ◆ **Manhattan's Diamond District** is seeing a bonanza as gold and silver values rise. **A5**

World-Wide

- ◆ **Israeli authorities** prepared to receive the last hostages still alive in Gaza, after Hamas told mediators it had 20 living captives in its custody and was ready to begin setting them free. **A1, A6**
- ◆ **Under pressure** from its overseas hosts and increasingly reviled at home, Hamas had little choice but to accept a deal it didn't want. **A6**
- ◆ **More people** are starting to feel the bite of the government shutdown, with the strain deepening for contractors that perform work for the government, airports, and consumers unable to close on mortgages without federal flood insurance. **A1**
- ◆ **The Trump administration** is moving to keep some CDC staffers after telling them that they were laid off. **A4**
- ◆ **Poland has ramped up** military spending to nearly 5% of its GDP as Russia grows more aggressive. **A10**
- ◆ **China's detention** of a prominent underground pastor marks an escalating broadside against Christianity in the country, and further complicates relations between the U.S. and Beijing. **A8**
- ◆ **Authorities say** that the 16 people missing after a powerful blast tore through a Tennessee explosives factory didn't survive. **A3**
- ◆ **The president** of Madagascar said an attempted coup was under way in the Indian Ocean country. **A6**
- ◆ **Died: Diane Keaton**, 79, Oscar winner for "Annie Hall" and fashion icon. **A3**

JOURNAL REPORT

C-Suite Strategies: Will AI favor the superstars? **R1-6**

CONTENTS	Markets Digest.....	B7
Arts in Review.....	Opinion.....	A17-19
Business & Finance B2-36	Personal Journal A13-14	
Crossword.....	Sports.....	A16
From Page One.....	Technology.....	B4-5
Heard on Street.....	U.S. News.....	A2-5
Markets.....	World News.....	A6,8,10



© 2025 Dow Jones & Company, Inc. All Rights Reserved



CHRIS MCGATH/GETTY IMAGES

A woman read notes Sunday in Tel Aviv's Hostages Square as Israel prepared for the return of the 20 living captives held by Hamas since its Oct. 7, 2023, attacks sparked the Gaza war.

New Tariff Barrage Threatens Chinese Economy

By HANNAH MIAO AND YOKO KUBOTA

For thousands of manufacturers across China, it's déjà vu—with implications for the country's fragile economy. Earlier this year, after President Trump raised tariffs on Chinese goods to 145% in April, U.S. customers of Alan Chau's toy factory in southern China abruptly froze orders, sparking a cash crunch that brought his business to the brink. So it came as a relief when the U.S. and China reached a trade truce weeks later, in mid-May, rolling back most of their tariffs on each other—and allowing Chau to resume shipping his products. Now, less than six months later, prohibitively high tariffs could be the reality again for Chau and tens of thousands of other factory owners who make China a global manufacturing powerhouse. On Friday, Trump said he would impose a 100% additional tariff on all Chinese goods, effective Nov. 1. "That is literally an embargo," said Chau. "Who is going to do business with China?" After months of trade talks in which U.S. officials expressed cautious optimism about a breakthrough, the White House was caught off

Please turn to page A8

Shutdown Is Finally Starting to Bite

WASHINGTON—The government shutdown is starting to get real. The Smithsonian museums down the hill from the U.S. Capitol are now closed. Federal workers are already starting to

By Siobhan Hughes, Theo Francis and Katy Stech Ferek

miss pay and will have to rely on savings until the government reopens. Some businesses that count on a fully functioning federal government say layoffs and costly delays will accelerate. President Trump over the

weekend removed one of the most potent consequences of the shutdown when he announced that he found a way—for now—to pay the 1.3 million active-duty servicemen and women, in addition to hundreds of thousands of members of the military reserves and National Guard, whose payday is Oct. 15. But the strain is deepening for contractors, such as the housekeepers and cement operators, who perform work for the government but aren't guaranteed back wages; airports that rely on federal staff working without pay to keep travel safe; executives planning

without government economic data; entrepreneurs unable to secure small-business loans; and consumers unable to close on mortgages without federal flood insurance. "Families around the country are already seeing the impacts, and it's about to get a whole lot worse," said Senate Majority Leader John Thune (R., S.D.) at a press conference headed into the Columbus Day weekend. Thune and other Republicans blame Senate Democrats for failing to provide the votes to approve a House-passed spending bill to reopen the government through Nov. 21.

Democrats want assurances that Congress will extend tens or hundreds of billions of dollars in healthcare funds before they will vote to reopen the government. Informal talks are taking place, focused on short-term extensions mixed with changes to the program, but party leaders have remained firmly dug in to their positions. "We need a real negotiation and we need a fix," Sen. Mark Kelly (D, Ariz.) said Sunday on NBC's "Meet the Press." At a recent town hall in Virginia's northern suburbs, Jewelyn Cosgrove told Rep. Suhas

Please turn to page A4

INSIDE



PERSONAL JOURNAL Executives' private-jet trips amid corporate cutbacks just don't fly with workers. **A13**

BUSINESS NEWS Hyundai's Georgia plant was a deadly job site before ICE raided the facility. **B1**

Epstein Associate Maxwell Upends a Quiet Texas Prison

Unexpected arrival of high-profile prisoner upset camp's routines; some inmates say she got favorable treatment

On a weekend in mid-August, hundreds of inmates at a minimum-security prison in Bryan, Texas, were locked down during their usual time for strolling the grassy campus and visiting with family and friends.

By Christopher Weaver, Meghan Bobrowsky and Brian Whitton

All except one: Ghislaine Maxwell, the 63-year-old associate of Jeffrey Epstein convicted for her role in helping him sexually abuse underage teens. While her fellow inmates were confined to their dormitories after breakfast, Maxwell met with several visitors in the federal

prison camp's chapel, according to people familiar with the matter. Less than three weeks earlier, the Justice Department had moved Maxwell to Federal Prison Camp Bryan from a higher-security facility in Tallahassee, Fla. Under Federal Bureau of Prisons rules, prisoners with sex-crime convictions like Maxwell's don't ordinarily qualify to serve their time in such camps. The transfer followed an interview with senior Justice Department official Todd Blanche during which Maxwell said she had never seen President Trump, during his long association with Epstein, doing anything inappropriate or illegal.

Please turn to page A12

Auto-Parts Bankruptcy Shatters Dreams of Its Mysterious CEO

Patrick James was watching the film "Minari" about a family of South Korean immigrants who moved in the 1980s to rural Arkansas when he leaned over to his son and whispered: "This is what it felt like when I first came to Ohio!" The Indian businessman immigrated from Malaysia in the 1980s to attend a small college in Ohio. James went on to live the American dream, building an auto-parts colossus with 26,000 employees and billions in annual sales by

scooping up smaller companies. His children went to elite U.S. colleges, and the family relaxed at their \$23 million Malibu, Calif., mansion. A business scandal has shattered that dream. James's company, First Brands Group, has filed for bankruptcy, acknowledging that more than \$2 billion is unaccounted for. Newly appointed directors are probing irregularities in the company's financing arrangements, and the Justice Department has opened an inquiry, people familiar with the matter said. First Brands, of which James is chief executive officer and sole equity owner,

borrowed more than \$10 billion from some big names despite a history of lawsuits from business partners who had alleged that James made misrepresentations in his convoluted financing arrangements. Major banks including UBS Group and Jefferies Financial Group are exposed. Unbeknown to most, the company raised billions through off-balance-sheet financing, especially through a form of borrowing against money it is owed by customers such as AutoZone. As the shaky finances came into focus this year, James's backers pulled the plug. The com-

Please turn to page A2

Leaf-Peeping Tourists Fall Out Of Favor with New Englanders

Trespassing influencers, badly behaved visitors crowd roads and fight over parking

By JARED MITOVICH

When Laura Seymour sips coffee on her porch in rural Vermont this time of year, she's treated to rolling hills of red, orange and yellow. And, increasingly, cars. Lots of them. This crowding from visiting leaf-peepers in Huntington, Vt., has gotten so irksome, the 56-year-old and her husband decamped for the French countryside for the first two weeks of October, around the time colors often peak in the New England state. "I hate to say it, but we

probably picked this time to actually avoid some of the traffic on our road," Seymour, a speech-language pathologist, said by phone from France. Crowding has become a testy issue around Vermont, where small towns have taken aim at intrusive leaf-peeping visitors by shutting down scenic roads and ramping up parking enforcement—even towing vehicles. General stores sell figurines that satirize social media-obsessed tourists. Vermont's economy relies on tourism, and many residents

Please turn to page A12